corporate governance

The audit committee meets the group's external and internal auditors and executive management regularly to consider risk assessment and management, review the audit plans of the external auditors and to review accounting, auditing, financial reporting, corporate governance and compliance matters. The audit committee approves the external auditors' engagement letter and the terms, nature and scope of the audit function and the audit fee. The internal audit charter, internal audit plan and internal audit conclusions are similarly reviewed and approved by the audit committee.

Interim and annual results of the group and trading statements of the company are reviewed by the audit committee before publication.

Both the audit committee and the board are satisfied that there is adequate segregation between the external and internal audit functions and that the independence of the internal and external auditors is not in any way impaired or compromised.

The nomination and governance committee
The nomination and governance committee was formed in June 2002 and consists entirely of independent non-executive directors. The members of this committee are Ms E le R Bradley and Messrs W A M Clewlow, P du P Kruger (chairman), S Montsi and C B Strauss. The nomination and governance committee has met four times during the reporting year.

The functions of the nomination and governance committee include reviewing and making recommendations to the board on the general corporate governance framework of the company, the composition and performance of the board and its committees, legal compliance and the company's ethics policy and programmes.

The risk and safety, health and environment committee (risk and SHE committee) The risk and safety, health and environment committee was formed in November 2002. It comprises three executive and three non-executive directors and meets at least twice a year. The current members of the committee are Messrs B P Connellan (chairman), P V Cox, J H Fourie, M S V Gantsho, P du P Kruger and T S Munday.

The functions of the committee include reviewing and assessing the integrity of the company's risk management processes, including the effective management of those covering safety, health and environmental matters.

Internal control and risk management
The directors are ultimately responsible for the group's system of internal control, which is designed to provide reasonable assurance against material misstatement and loss. The group maintains a system of internal financial control that is designed to provide assurances regarding the maintenance of proper accounting records and the reliability of financial information used within the business for publication.

The system contains self-monitoring mechanisms, and actions are taken to correct deficiencies as they are identified. The internal control system includes:

- a documented organisational structure and reasonable division of responsibility;
- established policies and procedures (including a code of conduct to foster a strong ethical climate), which are communicated throughout the group; and
- established mechanisms to ensure compliance.

As required by the SEC rules, the disclosure controls and procedures of the company have been formalised and are assessed periodically by management and the board for effectiveness.

Internal audit The group has an internal audit function covering its global operations. Internal audit is responsible for the following:

- assisting the board and management in monitoring the effectiveness of the company's risk management process; and
- assisting the board and management in maintaining effective controls by evaluating those controls on an ongoing basis to determine their efficiency and effectiveness and to recommend improvements.

The controls that are subject to evaluation, encompass the following:

- the information management environment;
- the reliability and integrity of financial and operating information;
- the safeguarding of assets; and
- the effective and efficient use of the company's resources.

Audit plans are based on an assessment of risk areas, as well as on issues highlighted by the audit committee and management. Audit plans are updated as appropriate to ensure that they are responsive to changes in the business.